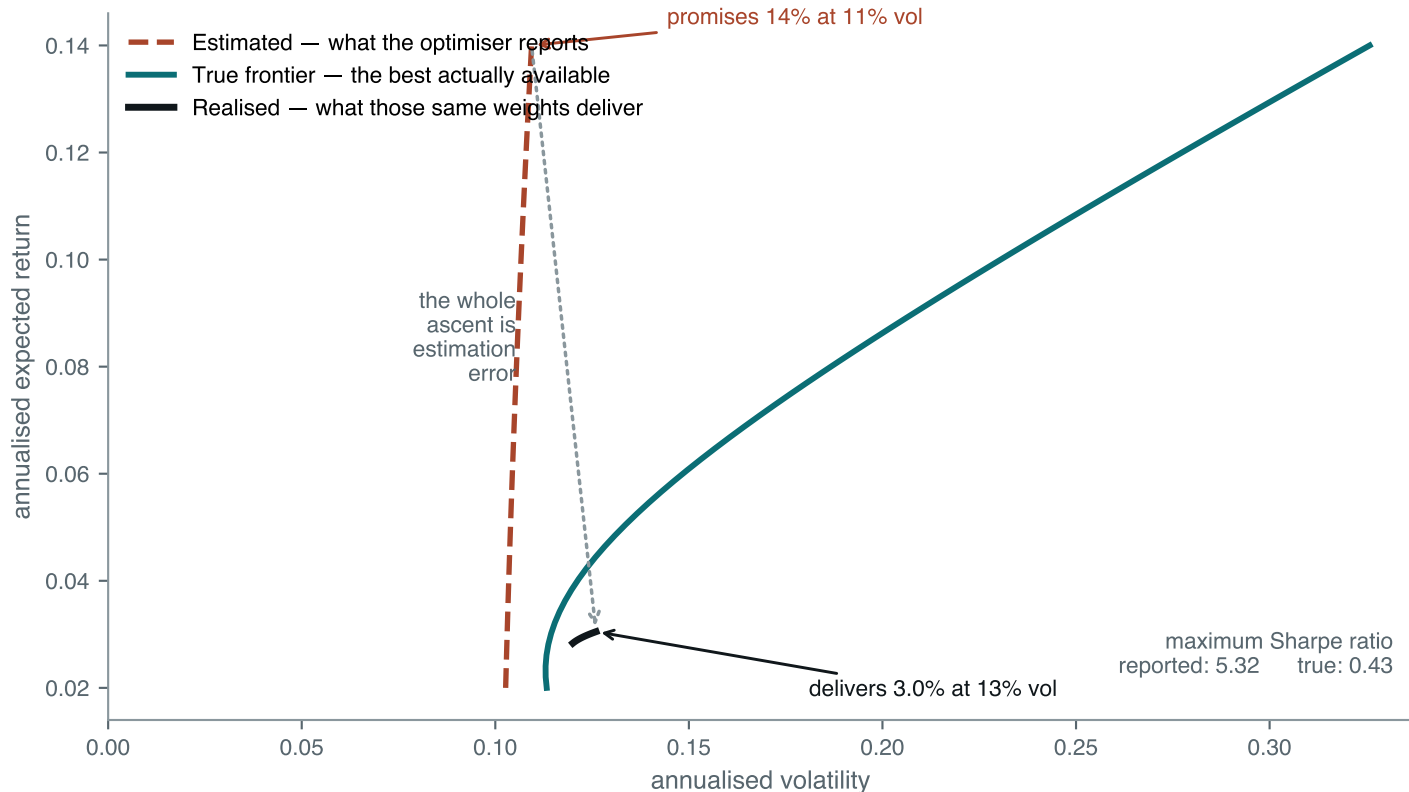


The frontier illusion — N = 50 assets, T = 500 daily observations (q = 0.10)



Returns are drawn from exactly the model the optimiser assumes, so every part of the gap is estimation error — none of it is misspecification. Ask the estimated frontier for more return and it hands you more leverage on noise: the realised curve barely moves.